A Hassle-Free System to Convert Stashed Gold into a Financial Asset

There is considerable amount of gold with households, institutions and temples, lying without a purpose or as an inefficient avenue of financial security. Current schemes, besides having structural flaws, are not consumer-friendly. The process and time taken to convert gold in the form of jewellery or in other physical form to the standard form before it is accepted by banks under these schemes is tortuous. Likewise, there are severe flaws in the entire process of banks handing over the gold to the Metals and Minerals Trading Corporation of India (MMTC) and MMTC selling it to the highest bidder.

A revamped bouquet of schemes making gold a financial asset class should make it hassle-free for households and temples to convert their jewellery and other forms of physical gold into financial gold or equivalent physical gold certificates. Bullion banks, other authorized banks and regulated vaults should work with transparency to verify the actual gold in standard gold units and give it instant credit in their bank accounts or provide gold certificates to take back equivalent physical gold at the end of the desired period.